CAPITAL IMPROVEMENT PLAN

Alder Office Park | Madison, WI

Property	Alder Office Park
Plan Date	July 15, 2019
Prepared For	Beacon Hollow Investors
Total Plan Budget	$18,000

Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Lobby renovation	Interior	03/10/26	Q4 2027	$533,000	$492,550	In progress
HVAC replacement	Site	08/16/23	Q3 2026	$555,000	$572,630	In progress
Sewer line repair	Life Safety	07/04/24	Q1 2026	$881,000	$30,387	In progress
Sewer line repair	Life Safety	12/18/23	Q2 2026	$355,000	$223,268	In progress
Storefront glazing	Interior	02/12/25	Q3 2027	$250,000	$154,158	Bidding
Fence replacement	Energy	05/14/23	Q3 2026	$9,000	$3,681	Complete
Fire alarm panel upgrade	Site	08/19/24	Q4 2026	$354,000	$87,906	In progress
LED lighting retrofit	Building	12/12/25	Q3 2027	$418,000	$10,658	Deferred
Sewer line repair	Energy	08/04/26	Q4 2027	$720,000	$191,945	Complete
Fire alarm panel upgrade	Interior	11/16/23	Q4 2025	$426,000	$423,365	Approved
Sewer line repair	Energy	04/03/26	Q2 2026	$531,000	$61,612	Complete
Fire alarm panel upgrade	Energy	06/20/26	Q4 2027	$727,000	$332,938	In progress
Pool resurfacing	Building	11/23/24	Q3 2026	$27,000	$24,913	Approved
Unit interior upgrades	Energy	11/26/26	Q4 2025	$481,000	$245,810	In progress
Signage / monument	Energy	10/25/24	Q3 2025	$694,000	$624,347	Complete
Lobby renovation	Building	12/02/25	Q2 2026	$636,000	$433,747	Complete
Landscape / irrigation	Building	07/29/26	Q3 2026	$891,000	$895,092	In progress
HVAC replacement	Building	06/03/23	Q2 2025	$824,000	$696,724	Complete
Roof replacement - Bldg B	Energy	08/25/25	Q4 2027	$530,000	$52,380	In progress
Lobby renovation	Site	10/23/24	Q2 2025	$152,000	$149,505	Bidding
Pool resurfacing	Building	01/30/26	Q3 2027	$637,000	$582,112	Complete
Signage / monument	Interior	07/05/25	Q3 2026	$208,000	$114,888	Complete
Signage / monument	Building	06/07/25	Q1 2025	$64,000	$10,127	Deferred
Unit interior upgrades	Life Safety	03/16/24	Q4 2026	$43,000	$34,339	Deferred

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Elevator modernization	Site	12/05/26	Q4 2026	$31,000	$29,949	Bidding
Parking lot resurfacing	Life Safety	10/05/26	Q4 2026	$228,000	$98,972	Complete
Signage / monument	Life Safety	01/27/24	Q2 2027	$589,000	$257,499	Complete
Unit interior upgrades	Life Safety	07/28/24	Q2 2027	$253,000	$151,607	In progress
Parking lot resurfacing	Energy	05/02/24	Q1 2026	$421,000	$278,827	Complete
Water heater replacement	Energy	08/14/26	Q2 2026	$152,000	$43,040	Bidding
Fence replacement	Interior	06/21/23	Q1 2025	$31,000	$30,855	Complete
Sewer line repair	Life Safety	08/28/26	Q2 2025	$435,000	$321,288	Approved
Unit interior upgrades	Site	11/27/26	Q2 2025	$504,000	$454,736	Deferred
Roof replacement - Bldg A	Life Safety	12/06/24	Q1 2027	$330,000	$187,742	Deferred
Parking lot resurfacing	Interior	10/13/23	Q2 2026	$256,000	$220,039	Deferred
Unit interior upgrades	Life Safety	11/13/25	Q3 2026	$188,000	$44,428	Complete
Security camera upgrade	Energy	05/16/23	Q2 2025	$799,000	$529,811	Complete
Security camera upgrade	Life Safety	11/23/25	Q2 2026	$714,000	$273,653	Bidding
ADA compliance	Building	04/15/25	Q2 2027	$401,000	$13,721	Deferred
Fence replacement	Energy	03/19/26	Q2 2027	$472,000	$302,927	Complete
Sewer line repair	Life Safety	09/02/25	Q3 2027	$760,000	$735,127	Complete
LED lighting retrofit	Life Safety	01/18/26	Q3 2026	$288,000	$15,479	Approved
Parking lot resurfacing	Interior	08/25/26	Q4 2025	$495,000	$211,628	Approved
Elevator modernization	Interior	09/22/23	Q3 2026	$300,000	$268,425	In progress
Fire alarm panel upgrade	Interior	07/14/25	Q1 2025	$505,000	$320,524	Complete
LED lighting retrofit	Building	11/04/23	Q1 2027	$37,000	$13,031	Deferred
Roof replacement - Bldg D	Energy	02/02/25	Q3 2027	$490,000	$39,297	In progress
Door hardware	Interior	11/22/25	Q4 2027	$378,000	$217,131	In progress
Roof replacement - Bldg C	Site	05/15/26	Q1 2027	$293,000	$70,379	Deferred
ADA compliance	Site	09/20/25	Q4 2025	$812,000	$847,222	In progress
Roof replacement - Bldg D	Interior	06/19/25	Q2 2026	$450,000	$100,206	Approved
Storefront glazing	Life Safety	08/22/24	Q1 2027	$863,000	$362,882	Complete
Amenity renovation	Site	10/31/26	Q3 2026	$501,000	$271,046	Bidding
Roof replacement - Bldg D	Building	03/12/26	Q2 2025	$499,000	$173,065	Deferred
Roof replacement - Bldg B	Interior	03/25/26	Q3 2026	$821,000	$470,404	Bidding
ADA compliance	Energy	08/27/24	Q2 2025	$613,000	$250,853	In progress
Lobby renovation	Energy	01/01/24	Q4 2025	$617,000	$4,776	Bidding
Lobby renovation	Energy	01/18/23	Q3 2026	$730,000	$247,705	Deferred
Lobby renovation	Building	02/28/25	Q3 2026	$816,000	$590,979	Bidding
Sewer line repair	Interior	10/30/26	Q4 2027	$430,000	$245,800	Bidding
Elevator modernization	Energy	11/18/23	Q1 2025	$899,000	$652,366	Bidding
Elevator modernization	Building	08/29/24	Q3 2027	$221,000	$141,345	In progress
Fire alarm panel upgrade	Life Safety	11/22/25	Q2 2026	$679,000	$396,027	In progress
Lobby renovation	Building	12/20/23	Q2 2025	$502,000	$107,884	Bidding
ADA compliance	Building	03/14/23	Q3 2026	$176,000	$90,862	In progress

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Observed Conditions

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 4 months. Elevators were last modernized 10 years ago and are operating without deficiency. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $38,000.

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Elevators were last modernized 3 years ago and are operating without deficiency. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 26 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

Investor Distributions

Projected levered IRR is 3.2% with an equity multiple of 1.27x over the hold period. The business plan contemplates a hold period of 6 years with disposition upon achievement of target returns. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Floor plates are efficient and column-spacing supports open and private-office layouts. The building features a renovated lobby, structured parking at a ratio of 8 per 1,000 square feet, and a tenant lounge with fitness center. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Projected levered IRR is 7.9% with an equity multiple of 1.10x over the hold period. The building features a renovated lobby, structured parking at a ratio of 34 per 1,000 square feet, and a tenant lounge with fitness center. Distributions to investors for the quarter were paid at an annualized rate of 3.2% on contributed capital. The business plan contemplates a hold period of 10 years with disposition upon achievement of target returns.

Deferred Maintenance

Domestic water piping is copper and PVC with no evidence of widespread leakage. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $206,000. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Elevators were last modernized 3 years ago and are operating without deficiency.

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $86,000. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

Business Plan Progress

Weighted average lease term remaining is 12 years and in-place rents average $31 per square foot, full service gross. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Distributions to investors for the quarter were paid at an annualized rate of 6.6% on contributed capital.

Weighted average lease term remaining is 10 years and in-place rents average $31 per square foot, full service gross. Projected levered IRR is 3.7% with an equity multiple of 1.2x over the hold period. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The business plan contemplates a hold period of 3 years with disposition upon achievement of target returns.

Recommendations

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Elevators were last modernized 12 years ago and are operating without deficiency. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 45 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Landscape / irrigation	Building	10/02/23	Q3 2027	$355,000	$113,265	Approved
Roof replacement - Bldg B	Energy	08/24/26	Q3 2027	$714,000	$512,525	Approved
LED lighting retrofit	Energy	03/17/23	Q2 2026	$558,000	$297,751	Complete
Exterior paint	Building	01/18/25	Q3 2026	$842,000	$864,596	In progress
Roof replacement - Bldg C	Energy	01/30/25	Q3 2026	$215,000	$83,070	Complete
Fence replacement	Building	12/05/25	Q4 2025	$96,000	$84,134	Deferred
Parking lot resurfacing	Building	09/16/24	Q2 2027	$835,000	$562,933	Deferred
Parking lot resurfacing	Interior	09/26/24	Q1 2025	$774,000	$159,918	Complete
Fire alarm panel upgrade	Interior	02/15/24	Q1 2026	$196,000	$109,840	In progress
Water heater replacement	Building	10/12/26	Q2 2026	$664,000	$556,957	Deferred
Roof replacement - Bldg B	Interior	09/25/24	Q4 2027	$501,000	$406,362	Bidding
Landscape / irrigation	Life Safety	03/14/24	Q4 2026	$451,000	$272,112	Approved
Amenity renovation	Building	03/15/23	Q1 2027	$309,000	$175,221	Complete
LED lighting retrofit	Life Safety	08/30/25	Q3 2025	$89,000	$80	Deferred
Fence replacement	Energy	09/06/25	Q1 2026	$575,000	$178,740	In progress
LED lighting retrofit	Interior	10/21/25	Q3 2025	$362,000	$37,565	In progress
Storefront glazing	Energy	09/30/24	Q3 2025	$277,000	$108,397	Approved
Unit interior upgrades	Interior	09/29/26	Q1 2027	$820,000	$806,646	In progress
Pool resurfacing	Building	10/01/26	Q3 2027	$865,000	$647,026	Complete
LED lighting retrofit	Building	09/15/26	Q4 2027	$248,000	$59,978	Deferred
Fence replacement	Site	10/18/26	Q3 2027	$831,000	$376,257	Complete
Water heater replacement	Site	02/16/24	Q4 2026	$812,000	$258,737	Approved
Lobby renovation	Life Safety	08/28/25	Q4 2027	$64,000	$9,160	Complete
Parking lot resurfacing	Life Safety	07/07/24	Q4 2025	$566,000	$547,927	Bidding
Sewer line repair	Interior	10/16/23	Q4 2025	$644,000	$114,524	Bidding
Unit interior upgrades	Life Safety	03/26/26	Q3 2026	$566,000	$469,559	In progress
Exterior paint	Site	10/17/25	Q3 2026	$176,000	$76,290	Complete
HVAC replacement	Interior	12/15/25	Q1 2025	$838,000	$313,736	Approved
Parking lot resurfacing	Life Safety	05/27/23	Q4 2026	$680,000	$389,374	Bidding
Signage / monument	Energy	07/18/25	Q2 2027	$660,000	$352,468	In progress
Parking lot resurfacing	Building	08/07/26	Q4 2027	$173,000	$107,519	Complete
Landscape / irrigation	Life Safety	04/04/25	Q3 2025	$531,000	$270,027	Complete
Amenity renovation	Building	09/19/23	Q1 2026	$431,000	$276,836	Approved
Storefront glazing	Energy	12/03/23	Q4 2025	$85,000	$50,344	Complete
Signage / monument	Site	12/10/24	Q1 2026	$192,000	$55,591	Complete
Amenity renovation	Interior	11/07/24	Q1 2026	$841,000	$180,882	In progress
Fence replacement	Building	11/20/23	Q1 2027	$346,000	$242,168	Bidding
Amenity renovation	Energy	11/08/23	Q2 2025	$508,000	$385,216	Deferred
Storefront glazing	Site	10/17/23	Q4 2026	$515,000	$524,270	In progress
Water heater replacement	Site	07/14/23	Q2 2026	$505,000	$401,225	In progress
Signage / monument	Life Safety	07/30/24	Q3 2025	$726,000	$600,220	Approved

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Observed Conditions

Domestic water piping is copper and PVC with no evidence of widespread leakage. Elevators were last modernized 9 years ago and are operating without deficiency. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 9 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 25 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $139,000. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Elevators were last modernized 12 years ago and are operating without deficiency.

Investor Distributions

Distributions to investors for the quarter were paid at an annualized rate of 5.4% on contributed capital. The business plan contemplates a hold period of 10 years with disposition upon achievement of target returns. The building features a renovated lobby, structured parking at a ratio of 32 per 1,000 square feet, and a tenant lounge with fitness center. Floor plates are efficient and column-spacing supports open and private-office layouts. Weighted average lease term remaining is 9 years and in-place rents average $31 per square foot, full service gross.

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The building features a renovated lobby, structured parking at a ratio of 38 per 1,000 square feet, and a tenant lounge with fitness center. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Weighted average lease term remaining is 3 years and in-place rents average $31 per square foot, full service gross.

Observed Conditions

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $346,000. Domestic water piping is copper and PVC with no evidence of widespread leakage. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Elevators were last modernized 11 years ago and are operating without deficiency.

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 10 months. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Domestic water piping is copper and PVC with no evidence of widespread leakage.

Investment Overview

The business plan contemplates a hold period of 11 years with disposition upon achievement of target returns. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Distributions to investors for the quarter were paid at an annualized rate of 7.8% on contributed capital. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Projected levered IRR is 8.1% with an equity multiple of 1.12x over the hold period.

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Weighted average lease term remaining is 11 years and in-place rents average $31 per square foot, full service gross. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Distributions to investors for the quarter were paid at an annualized rate of 3.3% on contributed capital. Floor plates are efficient and column-spacing supports open and private-office layouts.

Observed Conditions

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $280,000. Domestic water piping is copper and PVC with no evidence of widespread leakage. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 4 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

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